you, plus all the contributions you made from your salary and any associated earnings, but you'd forfeit $2,400 ($6,000 × 40 percent = $2,400) plus any earnings that money has accumulated.

Switching Jobs

The portability of 401(k) plans is a great feature, but what do you do with your money when you change jobs? You have three choices:

1. If you have over $5,000 in your account, you have the option of leaving your funds in your employer's plan.
2. You may be able to roll your balance over into your new employer's plan.
3. You can set up an individual IRA at a bank, through a broker, or directly with a mutual fund.

401(k) Loans

If your 401(k) plan allows loans, you can borrow up to 50 percent of your vested balance, not to exceed $50,000. Loans typically have to be repaid over no more than five years unless the funds are used to buy a first home. Interest rates are typically low—between one and three points above the prime rate. Because you pay yourself back instead of paying a creditor, 401(k) loans are touted as a great deal. Even the interest you pay goes back into your 401(k).

ALERT

The limit on the amount of elective deferrals that you can contribute to your traditional or safe harbor 401(k) plan was $16,500 for 2011 and is $17,000 for 2012. If you are older than fifty, the elective deferral limit increases by $5,500 for 2011 and 2012.
